

The RBNZ's liquidity management framework – some updates following consultation

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Kia ora koutou katoa. Good afternoon.

It's great to be in Auckland and at this wonderful venue. I'd like to extend my thanks and that of my colleagues to KangaNews and ANZ for providing this opportunity.

An RBNZ appearance to talk about liquidity is becoming a regular instalment. And that's because the environment we are operating in has been changing.

Over the past few years, we have been reviewing and amending our internal liquidity management framework, which has been occurring alongside the RBNZ's review of the prudential liquidity policy for deposit takers. In September last year, we launched a consultation covering two areas: our approach to Open Market Operations (OMOs), and design considerations for the forthcoming Committed Liquidity Facility (CLF).

We have worked through submissions, and we have now released a Summary of Submissions and Key Decisions document. Today I will mostly focus on the updates we are making to our OMOs and explain how we intend to maintain ample system liquidity. I'll also touch briefly on the key feedback received in relation to the CLF.

The key question I want to answer for you is: in an ample world, how do we make liquidity reliably available, without the Reserve Bank becoming the market?

I'll answer this question by focussing on three areas.

First: where we've come from, abundant to ample, and what "ample" means.

Second: the decisions we've taken on OMOs, and how they fit together as part of a hybrid framework for maintaining ample liquidity.

Third: what success looks like, and what we'll adjust if we need to.

In this speech I'll be talking about monetary policy implementation – that is, how we give effect to the stance of policy set by the Monetary Policy Committee (MPC) by keeping short-term wholesale market interest rates close to the Official Cash Rate (OCR). But I won't be talking about the outlook for the OCR.

Before I go any further: what are the key changes we are making to our OMOs? (So you don't have to wait for the punchline).

From 2 April 2026 we will offer a weekly OMO with the following parameters:

- full allotment reverse repo operations to inject NZD liquidity;
- pricing will be at floating rate OCR + 10bps;
- standard terms of 7- and 28-days;
- operations will occur each Thursday from 11.30am till 11.45am NZT;
- the overnight deposit rate (ODR) will remain at the OCR; and
- eligible collateral for OMOs will be narrowed to New Zealand Government Bonds, RB Bills, approved Kauri securities and Local Government Funding Agency securities.

Background

So, let's return to that first question, where have we come from, and what is ample liquidity?

When we launched our consultation, we had already committed to maintaining an ample level of settlement cash.¹

We define ample as a level that is sufficient to anchor short-term market interest rates near the OCR, but not much more than this. In other words: ample liquidity is defined by a set of conditions it produces, not a precise dollar figure.²

For a period after COVID, settlement cash was “abundant”, meaning it was well above what is needed to keep short-term rates anchored. In a way, this made our job easy. If we remunerated settlement cash close to the policy rate, then short-term interest rates would trade close to the OCR.³

However, this abundant environment can crowd-out private sector activity in wholesale markets. Too much *system* liquidity can lead to too little *market* liquidity.⁴

An ample settlement cash level seeks to strike the balance between effective and robust rate control, while at the same time providing an incentive for cash redistribution among market participants.

We view the observable conditions that define ample as:

- short-term wholesale rates stay close to the OCR,
- payments and settlements continue to run smoothly, and
- market participants efficiently distribute liquidity among themselves in private markets, rather than relying on the central bank.

Given recent conditions, we may be operating close to ample now.

A hybrid approach to liquidity management

Now to the framework choice.

Once you decide to maintain an ample level of settlement cash, the next question is how do you provide it?

We have decided to adopt a “hybrid” approach, utilising with both “supply-driven” and “demand-driven” elements.⁵ Supply-driven refers to when the central bank takes the active choice of how much settlement cash to supply and acquires assets (either through outright purchases or repo) to reach that target. By contrast, a demand-driven approach puts more control in the hands of market participants, with the central bank making available standing facilities or operations to provide liquidity in the quantity desired, at the right price, when it is needed.

In our case, the supply-driven element reflects something distinctive about our approach to monetary policy implementation in New Zealand.

¹ (Silk, Liquidity management: Principles for liquidity provision and the end of an abundant era, 2024)

² (Craigie, 2025)

³ (Callaghan, Haworth, & Poskitt, 2023)

⁴ (Silk, 2023)

⁵ The ECB first proposed and have adopted a similar framework. See (Schnabel, 2024)

Unlike many other jurisdictions, a key part of how we implement monetary policy has involved the FX swap market. This has been necessary because of the relative lack of activity in domestic interbank cash and repo markets, and because the cost of hedging foreign funding matters for domestic financial conditions.⁶

To be effective in the FX swap market, we need to be able to inject and withdraw New Zealand dollar liquidity. To withdraw NZD liquidity via FX swaps, we need foreign currency assets.

That is why we maintain a portfolio of foreign currency assets for liquidity management. We call these our Liquidity Management Reserves. They are separate from our foreign reserves held for potential FX intervention purposes.⁷

Funding the Liquidity Management Reserves injects settlement cash into the system. So, you can think of that portfolio as part of the structural, or supply-driven, component of system liquidity.⁸

Alongside that supply-driven base, we will use Open Market Operations as a demand-driven element, allowing market participants to determine how much additional settlement cash they need at a known price, and plan accordingly around our regular operations.

Including a demand-driven operation in our hybrid approach makes it more robust to uncertainty about precautionary demand for settlement cash. This reduces reliance on the central bank always getting liquidity forecasts exactly right, because counterparties determine their own demand based on their needs.

Changes to Open Markets Operations following consultation

Let me now move to the OMO decisions, and why we have made them.

When we set out to propose a new design for our OMO, we were focussed on five objectives: 1) effective monetary policy implementation, 2) support for financial stability, 3) support for market liquidity, 4) regulatory consistency and 5) operational simplicity.

The central change is that market participants should assess their liquidity needs and plan accordingly around a weekly Thursday OMO. Liquidity for standard terms of 7- and 28-days will be offered.

At these weekly OMOs, participants will be able to borrow as much settlement cash as they need at a set price, subject to having sufficient eligible collateral. This will allow counterparties to manage their settlement cash needs with more certainty while providing some incentive to distribute liquidity among themselves.

We will retain the ability to offer OMOs on an ad hoc basis, but for the most part we will be moving away from our current approach where OMOs are offered on a discretionary basis and the amount offered is based off our assessment of system liquidity needs.

⁶ (Zhang & Alanya-Beltran, 2025)

⁷ [Foreign currency reserves - Reserve Bank of New Zealand - Te Pūtea Matua](#)

⁸ Settlement cash is also created when we increase our holdings of other assets such as foreign reserves held for intervention, or non-market NZGB bonds held to support liquidity in the NZGB market via our Bond Lending Facility. The recent increase in foreign reserves under the Foreign Reserves Coordination Framework has increased the level of settlement cash and partially offset the impact of the unwind of the LSAP portfolio.

These weekly operations will be complemented by the existing standing Overnight Reverse Repo Facility (the ORRF), which will help to backstop monetary policy implementation on days when no OMO is run.

The eligible collateral for our OMOs will be narrowed to New Zealand Government securities, RB Bills, approved Kauri securities and Local Government Funding Agency securities.

We are leaving the Overnight Deposit Rate, that it is the rate at which ESAS accounts are remunerated, unchanged at the OCR. We are setting the reverse repo OMO rate at OCR plus 10 basis points (floating rate). This spread is narrower than the 15 basis points we posited in the consultation.

Based on the feedback we received, and our recent observations in OMOs conducted over the past few months, we feel a 10 basis point spread between our key deposit and lending rates is the right starting point. It should help to keep general collateral (GC) repo rates close to the OCR, while also leaving enough space for the private market to distribute liquidity. The fact that the OMO is only held weekly should also help with limiting the RBNZ's footprint in the market.

But this will not be "set and forget". As we adopt the new framework, we will continue to monitor the impact of these price settings and can adjust them after a suitable period of observation. Other central banks operating ample liquidity frameworks have made technical adjustments to pricing of their operations and facilities⁹.

We can revisit the pricing on the OMO, and if we need to strengthen distribution incentives, we can revisit the possibility of remunerating deposits at a rate slightly below the OCR.

The first OMO under the new framework will take place on Thursday 2 April 2026.

The weekly OMO is designed to be the regular, predictable channel for maintaining ample liquidity in the new framework.

But on days where no OMO is run, participants will still have access to the ORRF. Participants can borrow cash under the ORRF at any time, but at a higher margin (currently OCR plus 50 basis points) and against a wider range of collateral.

The pricing on the ORRF reflects the added optionality it provides: it is available every day and accepts any asset that is repo-eligible with the RBNZ.

We consider the ORRF's use to be consistent with routine liquidity management and, from a prudential and supervisory perspective, we are comfortable with deposit takers using it as needed. To strengthen this message, we have released [an official statement on the ORRF](#) highlighting its role in day-to-day liquidity management.

What success looks like

Now to the final point: what good looks like, and what we'll adjust if we need to.

The definition of success in an ample system is not whether settlement cash hits a particular number; it's the conditions the system produces.

⁹ In April 2025 the Reserve Bank of Australia increased the spread of their equivalent OMO from 5 basis points above the policy rate, to 10 basis points above. While in January 2026 the Bank of Canada reduced their deposit rate from being equal to the policy rate to being 5 basis points below. In both cases these technical adjustments did not reflect any change to the stance of monetary policy.

So what will we be watching? Three things:

- Short-term wholesale interest rates remain anchored near OCR – with GC repo an important indicator, in addition to FX swap implied rates.
- Payments and settlements operating smoothly – including through predictable seasonal and event-driven pressures.
- Efficient liquidity distribution – with market participants managing their needs and private markets doing more of the day-to-day distribution.

If we don't see those outcomes, what can we adjust?

The main levers are:

The level of Liquidity Management Reserves (the structural supply): If we find market participants are consistently needing to borrow large amounts via our operations and facilities, that may signal the structural component is too low. FX swap implied interest rates regularly trading further away from OCR could also suggest we need a larger liquidity injection via that market.

Pricing on the OMO: If price settings result in repo rates trading too far from OCR, or if our OMO crowds out private market activity, we could adjust the spread on our reverse-repo OMO.

The spread between the Overnight Deposit Rate (ODR) and the OCR: We have left the ODR unchanged at the OCR for now, but we can revisit the relationship between our administered rates if we need to strengthen incentives for healthy cash distribution.

Other operational settings: Outside of pricing, we could adjust other parameters such as the frequency of OMO or the eligible collateral. This could be temporary and in response to market conditions. For instance, we could widen the eligible collateral in the OMO if we thought this would have a financial stability benefit when there is market dysfunction, rather than launching a separate facility.

A brief update on the Committed Liquidity Facility (CLF)

Now, let me turn briefly to the CLF.

The consultation also sought input on design considerations for the CLF, and the feedback has been used to inform in-principle decisions and identify where additional work is required.

We valued submitters' comments on the key parameters of price and size.

We have made an in-principle decision to progress with a composition-based fee structure. While most submitters supported a flat fee, these submissions highlighted risks that are likely to be better addressed through a composition-based fee structure. These concerns included impact on market functioning and addressing issues of cross-subsidies between types of CLF-eligible asset.

We note submitters request for a sufficiently sized CLF and clear guidance on how and when the size may be adjusted over time.

Some submissions also recommended changes to the prudential Liquidity Standard. For instance, Group 3 submitters expressed interest in being able to access the CLF, should they hold sufficient eligible collateral. We have passed on these comments to our Prudential Policy colleagues for consideration before the Liquidity Standard is finalised next year. At that same time we will undertake a review of our Domestic Markets Counterparty criteria prior to the Liquidity Standard being issued.

We acknowledge that deposit takers need time to prepare for the CLF and that the final design will influence their strategies around liquid asset holdings. We will continue to engage with relevant stakeholders as the design of the facility develops.

Conclusion

So to sum up:

We're operating in an ample liquidity environment. That makes incentives and distribution more important, while effective monetary policy implementation remains paramount.

From 2nd April, you'll have a predictable weekly OMO, at a known price of 10-basis-points above the OCR for routine liquidity management, and the ORRF available daily for when it is economically sensible to use it.

Our goals are simple: short-term interest rates trading close to OCR, predictable access to our operations and facilities, and healthy wholesale interest rate markets.

Thank you. I'm very happy to take your questions.

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